

ORACLE CLOUD LEASE ACCOUNTING

COMPLETE IMPLEMENTATION GUIDE

Version: 1.0 | **Date:** October 2025 | **Status:** Final

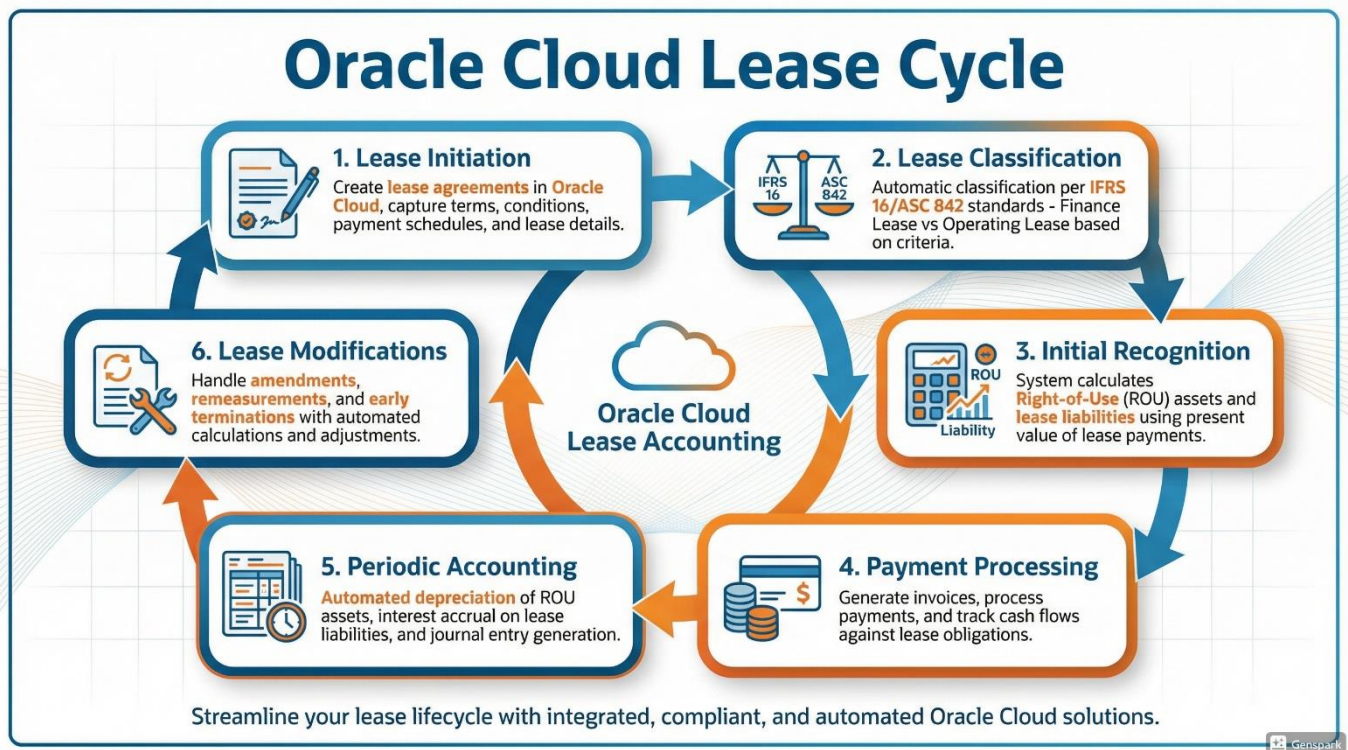
Table of Contents

- 1. Executive Summary
- 2. Implementation Prerequisites
- 3. Phase 1 : Lease Initiation
- 4. Phase 2: Lease Classification
- 5. Phase 3: Initial Recognition
- 6. Phase 4: Payment Processing
- 7. Phase 5: Periodic Accounting
- 8. Phase 6: Lease Modifications
- 9. Reporting and Compliance
- 10. System Configuration Guide
- 11. Data Migration Strategy
- 12. Testing and Validation
- 13. Post-Implementation Support
- 14. Appendices

1. Executive Summary

This document serves as a comprehensive guide for implementing the Oracle Cloud Lease Accounting module. It is designed to assist implementation teams, functional consultants, and finance stakeholders in configuring and utilizing the system to manage the complete lease lifecycle.

Overview



Oracle Cloud Lease Accounting provides a centralized repository and automated accounting engine to manage lease obligations. It fully integrates with Oracle General Ledger, Accounts Payable, and Fixed Assets to streamline financial operations.

Key Benefits & Compliance

The solution is engineered to ensure compliance with major accounting standards:

- **IFRS 16:** Mandates the recognition of almost all leases on the balance sheet for lessees.
- **ASC 842:** Requires lessees to recognize lease assets and liabilities on the balance sheet.

■ DOCUMENT SCOPE

This guide covers the end-to-end process from system configuration and data migration to the 6-phase daily operational lease cycle, ensuring a compliant and efficient implementation.

2. Implementation Prerequisites

System Requirements

- Oracle ERP Cloud (SaaS) subscription
- Active licenses for Lease Accounting and Financials modules
- Supported web browser (Chrome, Firefox, Edge)

Required Modules

Module	Purpose in Lease Accounting
General Ledger	Recording lease journals, accounting hub integration
Accounts Payable	Processing lease invoices and payments
Fixed Assets	Managing ROU assets (if integrated with FA)
Subledger Accounting	Generating accounting entries based on rules

Data Preparation Checklist

- ✓ Consolidate all active lease contracts (PDFs, Excel registers)
- ✓ Identify current discount rates / Incremental Borrowing Rates (IBR)
- ✓ Map legacy lease data fields to Oracle Cloud templates
- ✓ Cleanse vendor master data in Accounts Payable

3. Phase 1: Lease Initiation

Objective: To accurately identify and capture new lease agreements within the organization and create the initial record in Oracle Cloud.

Step-by-Step Process

1. **Lease Identification:** Review contracts to determine if they contain an identified asset and if the lessee has the right to control its use.
2. **Contract Assessment:** Extract key data points: Start Date, End Date, Payment Terms, Renewal Options, and Discount Rate.
3. **System Entry:**
 - Navigate to **Lease Accounting > Leases > Create Lease**.
 - Enter the Business Unit, Legal Entity, and Lease Number.
 - Assign the relevant Vendor/Supplier from the AP Master.

⚙️ CONFIGURATION REQUIREMENTS

System Options: Ensure "Allow Lease Creation" is enabled for the specific Business Unit.

Numbering: Define document sequencing for Lease IDs to ensure unique identification.

Best Practices

- Centralize contract storage before data entry.
- Use a standardized naming convention for Lease Numbers (e.g., `LS-Region-AssetType-001`).

4. Phase 2: Lease Classification

Objective: To classify leases correctly as Finance or Operating based on IFRS 16 / ASC 842 criteria.

Classification Criteria

Criteria	Finance Lease (IFRS 16 / ASC 842)	Operating Lease (ASC 842 Only)
Ownership Transfer	Yes, by end of term	No
Purchase Option	Reasonably certain to exercise	Not reasonably certain
Lease Term	Major part of economic life (>75%)	Minor part of economic life
PV of Payments	Substantially all fair value (>90%)	Less than 90% of fair value

System Configuration Steps

- 1 Define Classification Rules:** Navigate to *Setup and Maintenance > Manage Lease Accounting Configuration*.
- 2 Set Thresholds:** Configure the 75% Economic Life and 90% Fair Value tests within the system parameters.
- 3 Run Classification Test:** On the lease record, click "Actions > Validate & Classify". The system will suggest a classification based on inputs.

⚠ COMMON PITFALL

Failing to update the **Fair Value** of the asset during entry will result in incorrect classification results. Ensure Fair Value is mandatory during data entry.

5. Phase 3: Initial Recognition

Objective: To calculate and book the initial Right-of-Use (ROU) Asset and Lease Liability.

Step-by-Step Process

- 1 **Define Discount Rate:** Input the Incremental Borrowing Rate (IBR) or the Rate Implicit in the lease.
- 2 **Generate Schedules:** The system automatically calculates:
 - **PV of Lease Payments:** (Lease Liability)
 - **ROU Asset Value:** (Liability + Initial Direct Costs + Prepaid Payments - Incentives)
- 3 **Approve & Activate:** Submit the lease for approval. Upon approval, the status changes to "Active".
- 4 **Post Initial Entries:** Run the "Create Accounting" process to post the initial recognition journal to GL.

Example Journal Entry

Account	Debit	Credit
Right-of-Use Asset	\$100,000	
Lease Liability (Short Term)		\$12,000
Lease Liability (Long Term)		\$88,000

6. Phase 4: Payment Processing

Objective: To manage ongoing lease payments and integrate seamlessly with Accounts Payable.

Process Flow

- 1 **Schedule Generation:** Based on the lease terms, Oracle generates a payment schedule.
- 2 **Invoice Generation:**
 - Run the "Process Lease Payments" program.
 - This pushes payment data to the Accounts Payable module interface.
- 3 **Import Payables:** Run "Import Payables Invoices" in AP to create standard invoices.
- 4 **Payment:** The AP team processes the payment via standard payment runs (Check, EFT, Wire).

💡 BEST PRACTICE

Configure **Supplier Site** assignments correctly on the lease header. Mismatched supplier sites are the #1 cause of payment integration failures.

7. Phase 5: Periodic Accounting

Objective: To perform monthly amortization, interest accruals, and GL reconciliation.

Month-End Checklist

- ✓ Ensure all new leases for the period are "Active".
- ✓ Process all lease modifications (see Phase 6).
- ✓ Run "**Generate Lease Interest Expenses**".
- ✓ Run "**Generate Lease Amortization**".
- ✓ Run "**Create Accounting**" (Final Mode) to post to GL.
- ✓ Reconcile the "Lease Liability Analysis Report" with the GL Trial Balance.

Calculation Logic

- **Interest Expense:** Beginning Lease Liability Balance × Discount Rate.
- **Amortization (Operating):** Straight-line lease expense minus Interest Expense.
- **Amortization (Finance):** ROU Asset Value / Shorter of Lease Term or Asset Life.

8. Phase 6: Lease Modifications

Objective: To adjust lease records for changes in scope, term, or consideration.

Common Triggers

- Lease Renewal / Extension
- Early Termination
- Change in Scope (e.g., adding more floor space)
- Index/Rate updates (CPI adjustments)

Modification Steps

- 1 **Initiate Amendment:** Search for the active lease and select "Create Amendment".
- 2 **Enter Changes:** Update the relevant fields (e.g., new End Date, new Payment Amount).
- 3 **Remeasurement:**
 - The system will prompt to update the Discount Rate (if required by accounting policy).
 - The system recalculates the Lease Liability and ROU Asset.
- 4 **Review Impact:** Check the "Amendment Impact" tab to see the delta entries.
- 5 **Activate:** Submit for approval to book the adjustment journals.

9. Reporting and Compliance

Standard Disclosure Reports

Oracle Cloud provides out-of-the-box reports to satisfy IFRS 16 and ASC 842 disclosure requirements:

Report Name	Purpose
Lease Liability Analysis	Roll-forward of lease liability balances.
ROU Asset Analysis	Roll-forward of ROU asset balances and depreciation.
Lease Maturity Analysis	5-year maturity schedule of future lease payments (Undiscounted).
Lease Expense Analysis	breakdown of finance vs. operating expenses.

10. System Configuration Guide

Key Setup Tasks

- 1. Manage Discount Rate Indexes:** Setup IBR curves or specific rates.
- 2. Manage Lease Accounting System Options:** Define calendars, currency, and accounting buffering.
- 3. Subledger Accounting (SLA):**
 - **Journal Line Rules:** Define Debits/Credits for each event class (Booking, Expense, Payment).
 - **Account Rules:** Map segment values for Natural Accounts, Cost Centers, etc.
- 4. Payment Term Templates:** Create standard templates (e.g., "Monthly in Advance", "Quarterly in Arrears") to speed up data entry.

11. Data Migration Strategy

Migration Approach

We recommend using the **File-Based Data Import (FBDI)** capability for bulk loading legacy leases.

Steps:

1. Download the "Lease Import Template" (XLSM) from Oracle Enterprise Repository.
2. Populate the template tabs: Headers, Assets, Payments, Options.
3. Generate the CSV zip file.
4. Upload to Oracle Cloud UCM (Universal Content Management).
5. Run "Load Interface File for Import".
6. Run "Import Leases".

⚠ DATA VALIDATION

Legacy data often contains "expired" leases or dirty vendor data. Perform a strict data cleansing cycle **before** attempting to populate the FBDI template.

12. Testing and Validation

Testing Phases

- **Unit Testing (CRP):** Test individual configurations (e.g., can I create a finance lease? Does the math work?).
- **System Integration Testing (SIT):** Test end-to-end flows (Lease Creation -> AP Invoice -> GL Journal).
- **User Acceptance Testing (UAT):** Business users validate real-world scenarios using production-like data.

Go-Live Checklist

- ✓ All configurations migrated to Production.
- ✓ Opening Balances loaded and reconciled.
- ✓ Users provisioned with correct roles (Lease Accountant, Lease Administrator).
- ✓ Accounting Period Open.

13. Post-Implementation Support

- **Hypercare Period:** 2-4 weeks of intensive support immediately after Go-Live.
- **Training:** Provide Quick Reference Guides (QRGs) for "Create Lease", "Modify Lease", and "Month-End".
- **Maintenance:** Quarterly review of Oracle Cloud Updates (Patching) to test new features.

14. Appendices

Glossary

ROU Asset

Right-of-Use Asset. An asset that represents a lessee's right to use an underlying asset for the lease term.

IBR

Incremental Borrowing Rate. The rate of interest that a lessee would have to pay to borrow over a similar term, and with a similar security, the funds necessary to obtain an asset of a similar value.

FBDI

File-Based Data Import. Oracle's standard methodology for bulk data loading.